

**ENCORE CLACK
LIMITED LIABILITY COMPANY
ABU DHABI – UNITED ARAB EMIRATES**

**AUDITOR'S REPORT AND FINANCIAL
STATEMENTS FOR THE YEAR
ENDED 31 DECEMBER 2023**

ENCORE CLACK
LIMITED LIABILITY COMPANY
ABU DHABI – UNITED ARAB EMIRATES

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Abu Dhabi - United Arab Emirates

Manager's Report

The manager presents his annual report and financial statements for the year ended December 31, 2023.

Principal activity

The Main activities of the Company are telecommunication systems equipment installation and maintenance, security & surveillance systems installation & maintenance, buildings maintenance, Importing, Exporting, interior design implementation works(decor), wholesale trading of radio, television equipment, wholesale of precise electronic devices trading, onshore and offshore oil and gas fields and facilities services, radio, television, cinema and theatre equipment and apparatuses installation and maintenance, wholesale of alarm and monitor devices and equipment trading and wholesale of audio-visual and recording apparatuses and outfit trading

Review of business

The total revenue of the company for the year ended December 31, 2023 is AED **11,662,785** (2022: AED 10,496,507) and the net profit is AED **160,056** (2022: 144,051).

Release

The partners release from liability the Auditors in connection with their duties for the year ended December 31, 2023.

Auditors

A resolution proposing the re-appointment of Focus Auditing as auditors of the company for the ending December 31, 2023.

Managing Partner

Mr. Malek Wadih El Ghorayb

Abu Dhabi on September 03, 2024.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF
ENCORE CLACK

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of **Encore Clack**, Abu Dhabi–U.A.E. ('the Company'), which comprises the statement of financial position as at 31 December 2023, and the statement of profit and loss and other comprehensive income, statement of changes in equity, statement of cash flow for the year ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the statement of financial position of the Company as at 31 December 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standard (IFRS).

Basis for Opinion

We conducted our audit in accordance with international Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountant Code of Ethics for Professional Accountants (IESBA Code) together with ethical requirements that are relevant to our audit of the financial statements in the United Arab Emirates, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of the Management and Those Charges with the Governance for the Financial Statements

Management is responsible for preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards (IFRS) and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no alternative but to do so.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF
ENCORE CLACK (Continued).

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibility for the audit of financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosure, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF
ENCORE CLACK (Continued).

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit finding, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

Further, as required by the UAE Federal Law No. (32) Of 2021, we report that:

1. we have obtained all the information and explanations we considered necessary for the purpose of our audit;
2. The financial statements have been prepared and comply, in all material respects, with the applicable provisions of the UAE Federal Law No. (32) of 2021;
3. the Company has maintained proper books of account;
4. the financial information included in the Manager's report, in so far as it relates to these financial statements, is consistent with the books of account of the Company;
5. based on the information that has been made available to us, nothing has come to our attention which causes us to believe that the Company has contravened during the financial year ended 31 December 2023 with any of the applicable provisions of the UAE Federal Law No. (32) Of 2021 or its Memorandum and Articles of Association, which would materially affects its activities or its financial position as at 31 December 2023.

Focus Auditing Accounting – Al Hashemi

Tarek Abdul Karim

CPA - Registration No. 691

03 September 2024.

ENCORE CLACK
LIMITED LIABILITY COMPANY
ABU DHABI – UNITED ARAB EMIRATES
FINANCIAL POSITION AS OF 31 DECEMBER 2023

	NOTE	2023 AED	2022 AED
ASSETS			
Non-Current Assets			
Property, Plant and Equipment	(5)	6,465	6,465
Total non-current assets		6,465	6,465
Current Assets			
Accounts receivables	(6)	5,528,483	4,975,635
Inventory	(7)	969,672	872,705
Other receivables	(8)	1,751,465	1,576,319
Cash and cash equivalents	(9)	653,402	970,618
Total current assets		8,903,022	8,395,277
Total Assets		8,909,487	8,401,742
EQUITY AND LIABILITIES			
Equity			
Share capital	(16)	150,000	150,000
Additional paid-up capital		247,855	247,855
Statutory reserve	(17)	75,000	75,000
Partners' current account	(15)	480,461	(112,768)
Retained earnings	(18)	3,085,803	3,645,747
Total Equity		4,039,119	4,005,834
Non-Current Liabilities			
Provision for employees' end of service benefit	(10)	307,046	406,253
Total Non-Current Liabilities		307,046	406,253
Current Liabilities			
Account payables	(12)	720,188	648,169
Bills payables	(13)	2,860,576	2,574,518
Other payables	(14)	982,558	766,968
Total Current Liabilities		4,563,322	3,989,655
Total Liabilities		4,870,368	4,395,908
Total Equity and Liabilities		8,909,487	8,401,742

"The accompanying notes constitute an integral part of these financial statements"

ENCORE CLACK
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ABU DHABI – UNITED ARAB EMIRATES

STATEMENT OF PROFIT OR LOSS
AND OTHER COMPREHENSIVE INCOME
YEAR ENDED 31 DECEMBER 2023

	NOTE	2023 AED	2022 AED
Revenue	(19)	11,662,785	10,496,507
Cost of revenue	(20)	(7,813,881)	(7,032,493)
Gross profit		3,848,904	3,464,014
Other income		26,167	23,550
General and administrative expenses	(22)	(3,671,858)	(3,304,672)
Finance costs	(21)	(4,010)	(3,609)
(Loss) on currency exchange rates		(7,539)	(6,785)
Depreciation of property, plant and equipment	(5)	(31,608)	(28,447)
Net profit before corporate tax expense		160,056	144,051
Corporate tax expense	(23)	----	----
Net profit before other comprehensive income		160,056	144,051
Other comprehensive income		----	----
Total comprehensive income for the year		160,056	144,051

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ENCORE CLACK
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ABU DHABI – UNITED ARAB EMIRATES

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2023

	Share Capital	Additional Paid-up Capital	Statutory Reserve	Partners' Current Account	Retained Earnings	Total
Equity At 31 December 2021	150,000	247,855	75,000	(500,000)	4,149,696	4,122,551
Partners' current account "net movement"	----	----	----	387,232	----	387,232
Profit distribution	----	----	----	----	(648,000)	(648,000)
Net profit for the year	----	----	----	----	144,051	144,051
Equity At 31 December 2022	150,000	247,855	75,000	(112,768)	3,645,747	4,005,834
Partners' current account "net movement"	----	----	----	593,229	----	593,229
Profit distribution	----	----	----	----	(720,000)	(720,000)
Net profit for the year	----	----	----	----	160,056	160,056
Equity At 31 December 2023	150,000	247,855	75,000	480,461	3,085,803	4,039,119

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ENCORE CLACK
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ABU DHABI – UNITED ARAB EMIRATES

STATEMENT OF INDIRECT CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2023

	NOTE	2023 AED	2022 AED
Cash flows from operation activities:			
Net profit for the year		160,056	144,051
Adjustment for the year			
Provision for employees' end of service benefit		(99,207)	(89,286)
Finance cost		4,010	3,609
Depreciation of property, plant and equipment		31,608	28,447
Gain for sale property, plant and equipment		(26,081)	(23,473)
Operating profit before working capital changes		70,386	63,348
Cash flows from working capital changes:			
Accounts receivables		(577,950)	(520,155)
Inventory		(67,499)	(60,749)
Other receivables		100,939	90,845
Account payables		35,072	31,565
Bills payables		829,877	746,889
Other payables		23,757	21,381
Net cash (used in)/generated from operating activities		414,582	373,124
Cash flows from investing activities:			
Acquisition of property, plant and equipment		(1,547)	(1,392)
Proceeds for sale property, plant and equipment		26,081	23,473
Net cash (used in)/generated from investing activities		24,534	22,081
Cash flows from financing activities:			
Loans		(625,551)	(562,996)
Partners' current account "net movement"		593,229	533,906
Finance cost		(4,010)	(3,609)
Profit distribution		(720,000)	(648,000)
Net cash generated from/(used in) financing activities		(756,332)	(680,699)
Net (decrease) in cash		(317,216)	(285,494)
Cash and cash equivalents – beginning of the year		970,618	1,256,112
Cash & cash equivalent as of 31-Dec, 2023/2022	(9)	653,402	970,618

